

Reddit, Inc.

NYSE : RDDT \$29.59B mkt cap · 186M sh · \$954M cash, zero debt · Net cash +\$954M (\$954M cash, no debt); ~186.4M shares, but ~12%-of-revenue SBC · Mature- keeps diluting the count; Revenue \$2.20B FY25 (+62%); GAAP op margin turned positive to ~20%; FCF ~\$0.70B headline (~32%), but ~half Company is SBC; ~\$159, down ~31% YTD; hit ~\$300 in 2025 then ~halved — extremely volatile post-IPO DCF

\$158.73

THE CENTRAL QUESTION

Does Reddit's under-monetized ad engine plus a scarce AI-training corpus outgrow its ~42x FCF price, or does Google/AI-search erode the traffic it rests on?

Reddit trades at ~\$29.6B (~\$159, down ~31% YTD) — ~42x headline FCF on \$2.20B revenue growing ~62% at ~91% gross margin, net cash, GAAP-profitable. The bull is a deeply under-monetized ad engine (ARPU far below Meta) plus high-margin data-licensing/AI deals (Google, OpenAI); the bear is existential — ~40-50% of traffic comes from Google, and AI-search answer-boxes can disintermediate that discovery (a Q4-2025 change already dented growth). On ex-SBC owner FCF, the modal case lands ~~21%: priced for perfection.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -21.3% · 75% at or below spot

\$129.40

expected fair value today
-18.5% vs spot \$158.73

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$206.54	\$329.93	\$527.49	\$844.07
1.30× spot	2.08× spot	3.32× spot	5.32× spot

WEIGHTING RATIONALE

Ultra Bear 16% Google/AI-search erodes traffic; the model de-rates; ~\$41 (-74%).

Bear 27% Growth decelerates under AI-search pressure; ~\$70 (-56%).

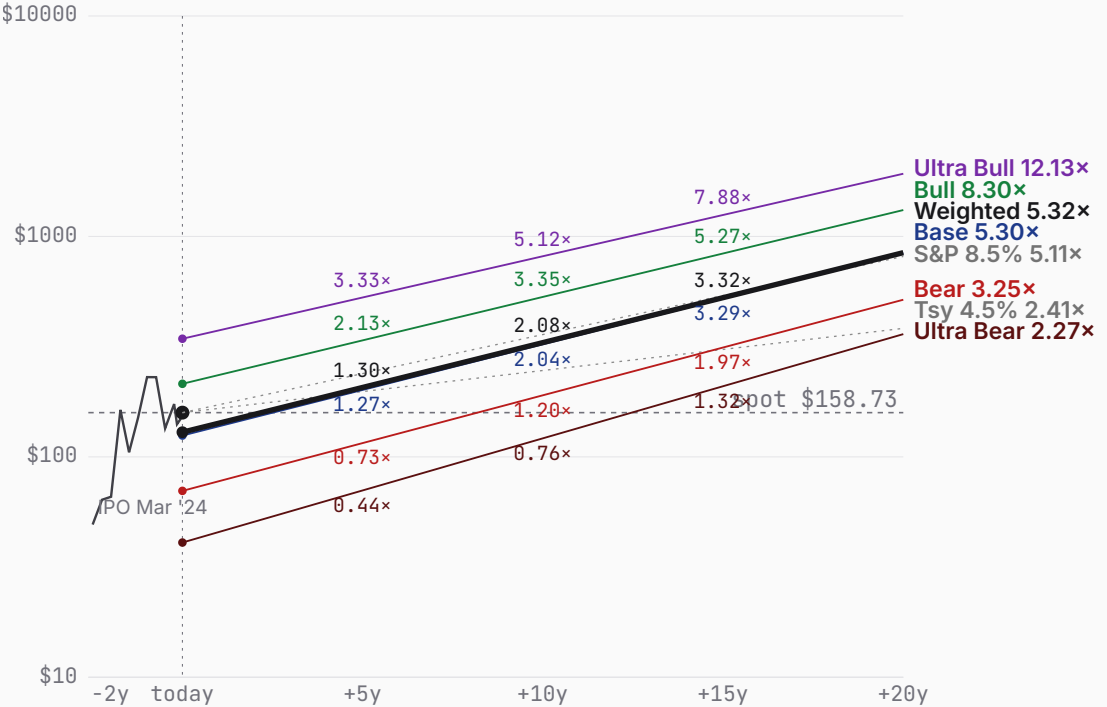
Base 32% Ad engine compounds, traffic holds, still priced in; ~\$125 (-21%).

Bull 17% Monetization plus data-licensing inflect; ~\$215 (+35%).

Ultra Bull 8% Platform plus AI-corpus annuity compound; ~\$343 (+116%).

Bull (17%) + Ultra Bull (8%) together contribute \$63.95 — 49% of the \$129.40 expected value despite 25% combined probability. Today's spot (\$158.73) sits 23% above the weighted expected; the forward-weighted value reaches spot in about 2 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$40.87	BEAR	\$70.10	BASE	\$124.95	BULL	\$214.52	ULTRA BULL	\$343.49
	-74.3% vs spot		-55.8% vs spot		-21.3% vs spot		+35.1% vs spot		+116.4% vs spot
CAGR +6.0% WACC 11.5% CAGR +6.0% Prob 16%		CAGR +12.8% WACC 10.5% CAGR +12.8% Prob 27%		CAGR +20.7% WACC 10.0% CAGR +20.7% Prob 32%		CAGR +28.0% WACC 9.5% CAGR +28.0% Prob 17%		CAGR +35.3% WACC 9.0% CAGR +35.3% Prob 8%	
Google/AI traffic erodes the model.		Growth decelerates; AI-search pressure caps it.		Ad engine compounds; traffic holds.		Monetization plus data-licensing inflect.		Platform plus AI-corpus annuity compound.	

PROBABILITY WEIGHTS

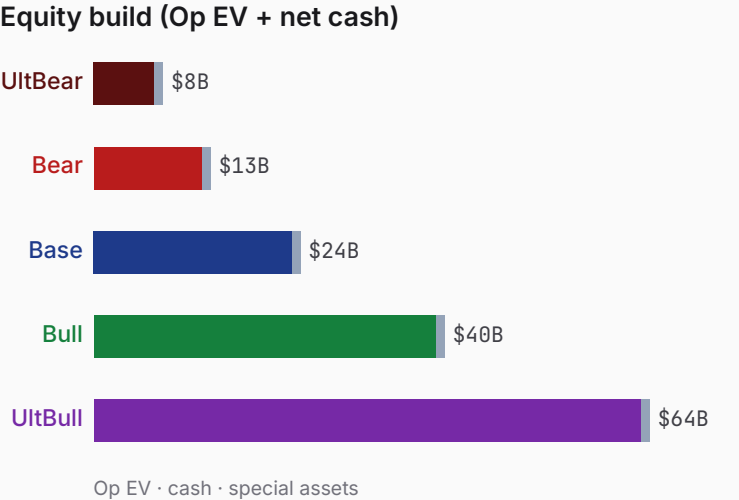
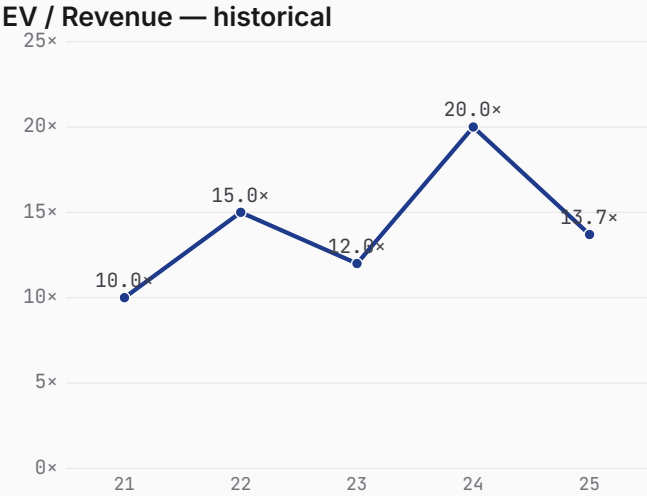
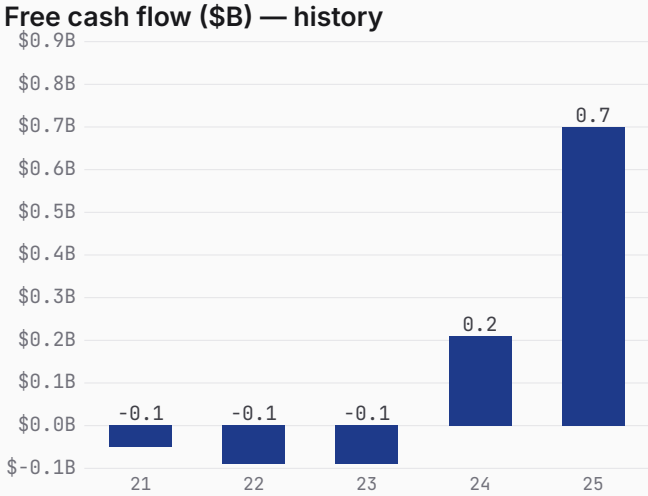
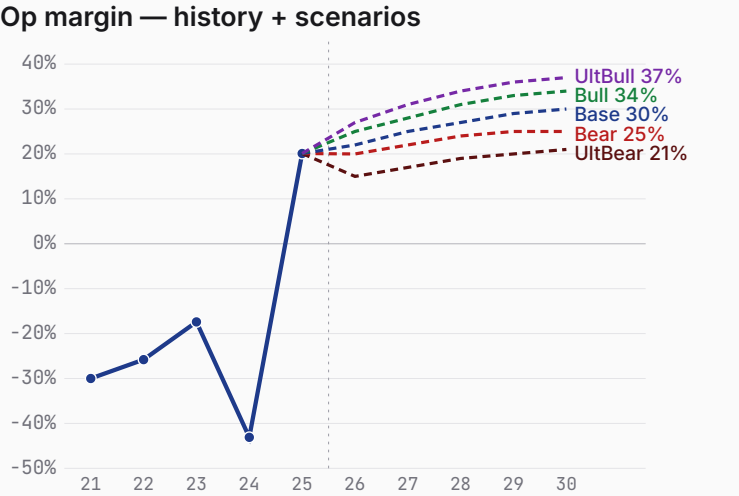
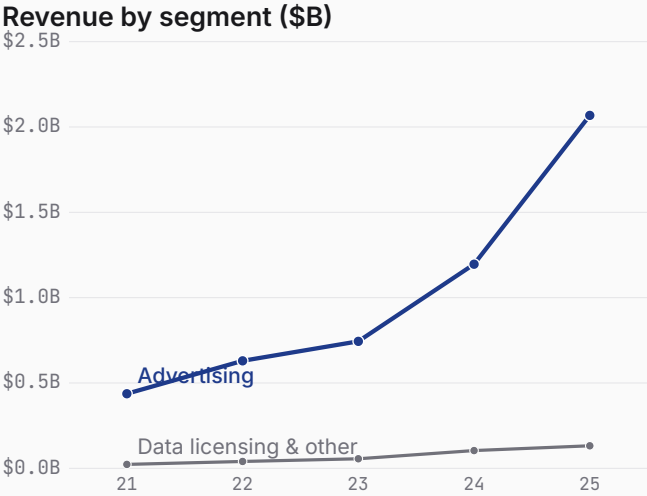
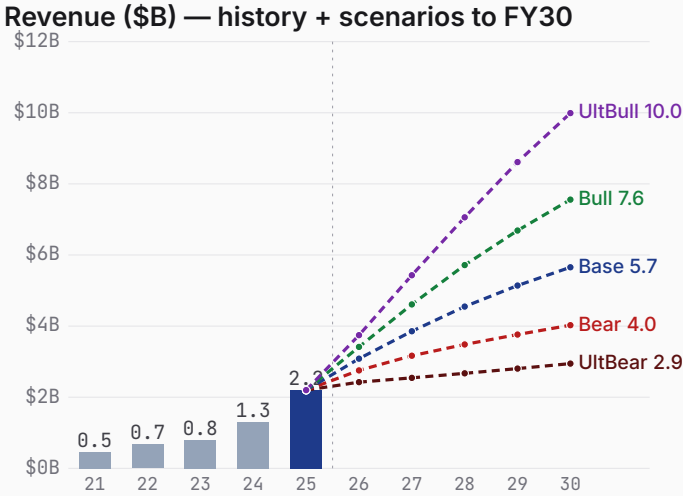
Ultra Bear 16% Bear 27% Base 32% Bull 17% Ultra Bull 8% · Weighted expected \$129.40 (-18.5% vs spot)

ULTRA BEAR	\$40.87	BEAR	\$70.10	BASE	\$124.95	BULL	\$214.52	ULTRA BULL	\$343.49
	-74.3% vs spot		-55.8% vs spot		-21.3% vs spot		+35.1% vs spot		+116.4% vs spot
Probability 16%		Probability 27%		Probability 32%		Probability 17%		Probability 8%	
Google/AI traffic erodes the model.		Growth decelerates; AI-search pressure caps it.		Ad engine compounds; traffic holds.		Monetization plus data-licensing inflect.		Platform plus AI-corpus annuity compound.	
WHY 16%		WHY 27%		WHY 32%		WHY 17%		WHY 8%	
The Q4-2025 Google-algorithm change already dented user growth and dropped the stock ~15%; AI-answer cannibalization is the live, asymmetric tail. 16% weight on the traffic dependency turning structural.		Deceleration plus Google-algorithm sensitivity is the plausible 'grows but the engine cools' path; SBC dilution and ad-cyclicality compound it. 27% as the realistic soft outcome.		Requires traffic to hold and monetization to keep climbing — credible given +44% ARPU and the licensing optionality, but it is priced in. 32% as the central, still-negative outcome.		Under-monetization vs peers leaves real ARPU runway, and the licensing deals show the corpus has scarce, payable value. ~17% weight on both engines firing.		Everything works — monetization AND the corpus annuity AND a multiple re-rate, with AI demand making the data more valuable, not less. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The existential bear lands: AI-search answer-boxes cannibalize the ~40-50% of traffic that arrives via Google, sessions and ad inventory shrink together, and growth collapses to ~10% then ~5%. Reddit Answers and data-licensing can't backfill a structurally smaller front door, and a once-rich growth story de-rates hard to a low-teens FCF multiple.		Growth fades faster than the bulls hope: user adds keep decelerating off +17%, Google referral softens (not collapses), and ad ARPU gains slow as the inventory stops compounding. Revenue still grows but ~25% then into the teens, and the scarcity premium on the data-licensing corpus gets competed down.		The modal path: Google referral holds, the under-monetized ad engine keeps lifting ARPU toward peers, international scales, and data-licensing/AI-training deals (Google ~\$60M/yr, OpenAI ~\$70M/yr) compound as a high-margin offset. Revenue compounds ~40% then normalizes toward ~10%, ex-SBC FCF margin grinds to ~30%.		The ad engine and the corpus both compound: ARPU closes more of the gap to Meta, international monetization inflects, and the scarce human-generated corpus becomes a recurring high-margin AI-training annuity as more labs license it. Revenue compounds ~55% then sustains mid-teens, ex-SBC FCF margin reaches ~33%.		The full second act: Reddit becomes the default monetized discussion graph, ad ARPU rivals the majors, and the human-generated corpus turns into a durable, escalating AI-training annuity across the major labs — a high-margin stream that grows with AI demand rather than being cannibalized by it. Revenue compounds ~70% early, ex-SBC FCF margin reaches ~36%.	
Ex-SBC FCF margin holds ~18-24% but on a shrinking base; DCF ~\$41 (-74%). When the source of discovery is disintermediated, a 91%-gross-margin model still re-rates to a fraction of a price that assumed durable traffic.		DCF ~\$70 (-56%) — a decelerating, traffic-dependent platform at a mid-teens FCF multiple is worth well under today's price. The market's high-growth premium is unwarranted if the front door is even slowly narrowing.		DCF ~\$125 (-21%) — even with the ad engine working and traffic intact, an ~18x terminal FCF multiple on the honest ex-SBC cash leaves the modal case below spot. The price embeds the bull, not the base.		DCF ~\$215 (+35%) — if monetization and data-licensing both inflect while traffic holds, the de-rated entry re-rates with the fundamentals; this is the core of the bull and the only path that clears spot comfortably.		DCF ~\$343 (+116%) — both Powers fully monetize and the multiple re-rates to a scarce-platform premium; ~8% probability, the asymmetric upside the volatile entry is buying.	

Reddit, Inc. business snapshot

Bear \$70.10 Base \$124.95 Bull \$214.52

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results



Sources: SEC XBRL company facts (CIK 1713445), Reddit Q1 FY2026 release (revenue \$663M/+69%; advertising \$625M/+74%; data-licensing & other \$39M/+15%; daily active uniques 126.8M/+17%; ARPU \$5.23/+44%; FCF \$311M/~47%; SBC ~12% of revenue). FCF = revenue x ex-SBC owner FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Meta/Pinterest/Snap.

Reddit, Inc. 7 Powers · the moat, scored

Bear \$70.10 Base \$124.95 Bull \$214.52

Arena. Digital advertising and the AI-training-data market — Reddit (the community/UGC discussion graph, ~126.8M daily uniques, under-monetized ad engine) vs Meta, Pinterest, Snap for ad dollars and the AI labs (Google, OpenAI) as data-licensing buyers; auditing a network-economies Power against AI-search disintermediation.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Some ad-infrastructure and content-moderation leverage at ~\$2.2B revenue, but small vs Meta/Google; ad-tech scale is years away.
Network Economies · thesis leans here 	The dominant Power: a self-reinforcing community/UGC graph — more users and subreddits make the content more useful, which draws more users; decades of accumulated discussion are hard to replicate.
Counter-Positioning 	Pseudonymous, community-moderated, interest-graph format the incumbents don't replicate well, but not a true counter-position they can't follow.
Switching Costs 	Karma, communities, and moderator investment create some stickiness for power users, but most traffic is casual/search-sourced with no lock-in.
Branding 	A recognized, trusted 'ask Reddit / real-people answers' brand, but discovery is mediated by Google rather than direct, blunting the brand's pull.
Cornered Resource 	A scarce, hard-to-replicate human-generated corpus — the live, opinionated discussion data AI labs pay to train on (Google/OpenAI deals); genuinely cornered while licensed exclusively.
Process Power 	Emerging ad-tooling and AI features (Reddit Answers) lifting ARPU, but unproven as a durable, hard-to-copy process advantage.

PEER SET

Meta (META) The ad-monetization benchmark — ARPU and ad-tech Reddit is measured against and far below; the under-monetization gap is the bull.	22% gr · 42% mgn · ~22x EV/FCF
Pinterest (PINS) Closest comp — a mid-cap interest-graph ad platform, profitable, similar monetization-runway debate.	16% gr · 25% mgn · ~18x EV/FCF
Snap (SNAP) A scaled social-ad platform that has struggled to monetize and grow profitably — the cautionary comp on the engine cooling.	10% gr · ~3x EV/sales
Google / OpenAI Dual role: the data-licensing buyers paying for the corpus AND, via AI-search, the existential threat to Reddit's referral traffic.	· n/a (counterparties)

THREAT VECTORS · FALSIFIERS

Network Economies · Google / OpenAI AI-search falsifier: Daily-unique growth turns negative as AI answer-boxes satisfy queries without sending traffic to Reddit — the graph stops compounding.
Cornered Resource · AI labs / synthetic data / open scraping falsifier: Labs route around paid licensing (open crawls, synthetic data) and the data-licensing premium gets competed down toward zero.
Scale Economies · Meta / Google ad-tech falsifier: ARPU gains stall well below peers as Reddit can't match the majors' targeting/ad-tech, capping the monetization runway.

COMPETITIVE READ

Reddit's network-economies Power is real — a self-reinforcing community/UGC graph and a scarce human-generated corpus (cornered_resource) that AI labs pay to train on. But the Audit's tension is that the same corpus is discovered mostly through Google: ~40-50% of traffic is referral, so AI-search answer-boxes can disintermediate the front door even as the data itself gets more valuable (the Q4-2025 algorithm change already dented user growth). Durability is medium, not high — the graph compounds but its discovery layer is rented from a counterparty that is also a competitor. That squares with the DCF: a 91%-gross-margin, +62%-growth franchise priced at ~42x FCF lands the modal case at ~21%, because the price embeds the bull's monetization-plus-licensing inflection while carrying an existential, observable traffic risk the distribution puts real weight on.

Reddit, Inc. show your work

Bear \$70.10 Base \$124.95 Bull \$214.52 · Weighted \$129.40 (-18.5%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$40.87					\$70.10					\$124.95					\$214.52					\$343.49				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+6.0					5y revenue CAGR (%)					+12.8					5y revenue CAGR (%)				
Year-5 op margin (%)					21.0					Year-5 op margin (%)					25.0					Year-5 op margin (%)				
WACC (%)					11.5					WACC (%)					10.5					WACC (%)				
Terminal growth (%)					3.0					Terminal growth (%)					3.5					Terminal growth (%)				
Terminal FCF (\$B)					\$0.71B					Terminal FCF (\$B)					\$1.05B					Terminal FCF (\$B)				
Starting revenue (\$B)					2.20					Starting revenue (\$B)					2.20					Starting revenue (\$B)				
Scenario probability (%)					16					Scenario probability (%)					27					Scenario probability (%)				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	2.42	+15%	+0.44	+0.39	FY26	2.75	+20%	+0.61	+0.55	FY26	3.08	+22%	+0.74	+0.67	FY26	3.41	+25%	+0.89	+0.81	FY26	3.75	+27%	+1.05	+0.96
FY27	2.54	+17%	+0.51	+0.41	FY27	3.17	+22%	+0.76	+0.62	FY27	3.86	+25%	+1.00	+0.83	FY27	4.61	+28%	+1.29	+1.08	FY27	5.43	+31%	+1.68	+1.42
FY28	2.67	+19%	+0.59	+0.42	FY28	3.48	+24%	+0.87	+0.65	FY28	4.55	+27%	+1.27	+0.96	FY28	5.72	+31%	+1.72	+1.31	FY28	7.06	+34%	+2.33	+1.80
FY29	2.81	+20%	+0.65	+0.42	FY29	3.76	+25%	+0.98	+0.66	FY29	5.14	+29%	+1.49	+1.02	FY29	6.69	+33%	+2.14	+1.49	FY29	8.61	+36%	+3.02	+2.14
FY30	2.95	+21%	+0.71	+0.41	FY30	4.03	+25%	+1.05	+0.64	FY30	5.65	+30%	+1.70	+1.05	FY30	7.56	+34%	+2.49	+1.58	FY30	9.99	+37%	+3.60	+2.34
Σ PV explicit FCF					+2.05					Σ PV explicit FCF					+6.27					Σ PV explicit FCF				
+ PV terminal (g 3.0%)					4.97					+ PV terminal (g 4.0%)					33.11					+ PV terminal (g 4.5%)				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$7.02B					Operating EV					\$39.38B					Operating EV				
+ Cash & investments					\$0.95B					+ Cash & investments					\$0.95B					+ Cash & investments				
= Equity value					\$7.97B					= Equity value					\$40.33B					= Equity value				
FY30 shares (M)					195					FY30 shares (M)					188					FY30 shares (M)				
= Expected per share					\$40.87					= Expected per share					\$214.52					= Expected per share				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$70.43	\$121.38	\$209.18	\$360.50		\$115.49	\$190.26	\$313.44	\$516.37		\$201.23	\$324.09	\$521.95	\$840.60		\$337.71	\$531.63	\$836.91	\$1,317.50		\$528.50	\$813.17	\$1,251.16	\$1,925.06	
0.44×	0.76×	1.32×	2.27×		0.73×	1.20×	1.97×	3.25×		1.27×	2.04×	3.29×	5.30×		2.13×	3.35×	5.27×	8.30×		3.33×	5.12×	7.88×	12.13×	



Reddit, Inc. People · Opportunity · Context · Deal

Bear \$70.10 Base \$124.95 Bull \$214.52

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Steve Huffman · founder-led 11 yrs in seat

3.3% insider ownership
HIGH key-person risk

Capital allocation (realized)
Co-founder Steve Huffman has been CEO since returning in 2015 (co-founded 2005); co-founder Alexis Ohanian left the board in 2020. The company turned GAAP-profitable in FY2025 (revenue ~\$2.2B, +69%; net income ~\$530M) and is net cash (~\$2.8B, ~zero debt). Capital allocation is early: a first \$1B buyback authorized February 2026 (barely begun), no dividend. AI data-licensing (Google ~\$60M/year, OpenAI ~\$70M/year) is a high-margin revenue stream — and a strategic dependence.

Incentive alignment
Huffman's ~\$193M 2023 equity award drew public backlash; it is price-hurdle-vesting (\$45/\$60/\$90) through ~2028. His 2025 base is ~\$569K with a 150%-of-salary target bonus. He owns only ~3% economically yet controls ~70.7% of the vote (his super-voting Class B plus an irrevocable proxy over Advance Publications' shares) — a very wide vote/economics gap. Insider selling is small and programmatic (10b5-1).

GOVERNANCE FLAGS

- three-class structure: Class B = 10 votes, Class C = no votes; the high-vote class held ~97% of the vote at IPO
- founder-CEO Huffman controls ~70.7% of the vote on ~3% direct economic ownership — via super-voting Class B plus an irrevocable proxy over Advance Publications' shares
- eligible NYSE "controlled company" (Huffman votes a majority) — but voluntarily complies with all independence requirements
- mitigant: Chair and CEO are separated — independent Chair (Habiger) plus a Vice-Chair; 7 of 8 directors independent; annual elections
- the charter requires Advance's (and, while he is CEO, Huffman's) written approval to select any Chairperson
- CEO pay: the ~\$193M 2023 award drew backlash and is price-hurdle-vesting through ~2028
- business dependence on Google search referrals and AI data-licensing (Google / OpenAI)

PEOPLE READ

The defining fact is control: founder-CEO Huffman directs ~70.7% of the vote — his super-voting class plus an irrevocable proxy over Advance's shares — on roughly 3% economic ownership, and Reddit is a controlled company, which places it in the most-entrenched tier alongside the super-voting megacaps. The mitigants are real and more than most controlled companies offer: the Chair and CEO are separated under an independent chair, 7 of 8 directors are independent, and the company complies with independence rules despite the exemptions — which is why it is a 2 with strong mitigants rather than a 1. Key-person risk is high.

THE FOUR LEGS

People
observable composite · 1-5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
-18.5% vs spot \$158.73

Reddit, Inc. supporting analysis · disclaimers · glossary

Bear \$70.10 Base \$124.95 Bull \$214.52

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~91% gross margin and +62% growth is rare — why is the modal case negative?

Quality isn't the issue; price is. At ~42x headline FCF even strong execution lands the base at ~-21% — the price already embeds the bull.
- 2

Headline FCF overstates the cash.

FCF was ~\$0.70B (~32% of revenue) but SBC runs ~\$300M+/yr; ex-SBC owner FCF is ~a quarter lower and dilutes — the model uses it.
- 3

Data-licensing is the offsetting wildcard.

Google (~\$60M/yr) and OpenAI (~\$70M/yr) deals are ~6% of revenue but high-margin and scaling — a scarce corpus, partly hedging traffic risk.
- 4

The Google dependency is the whole thesis.

~40-50% of traffic arrives via Google; AI-search answer-boxes that satisfy queries without a click are the threat, already denting growth in Q4-2025.
- 5

Net cash; no solvency risk.

~\$954M cash and no debt — no solvency risk; the entire downside is multiple/growth/traffic, not survival.

FALSIFICATION TRIGGERS

Bull validation

ARPU keeps climbing toward peer levels (+40%+) · daily uniques hold despite AI-search · data-licensing scales beyond ~6% of revenue

Bear validation

daily-unique growth stalls for 2+ quarters · Google referral share visibly falls · another algorithm change dents traffic

Reframe needed

if AI-search clearly disintermediates Google-sourced discovery, re-rate the terminal toward a shrinking platform — ultra-bear becomes the base

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Daily active uniques (DAUq) — Unique logged-in + logged-out daily users (~126.8M, +17%) — the traffic base; its deceleration and Google-algorithm sensitivity are the central bear signal.

ARPU — Average revenue per user (~\$5.23, +44%) — far below Meta, so the gap is the bull's monetization runway, the lever that lifts ad revenue without more users.

Data licensing — High-margin revenue from licensing Reddit's corpus for AI training (Google ~\$60M/yr, OpenAI ~\$70M/yr; ~6% of revenue) — a scarce-resource annuity, the wildcard to traffic risk.

AI-search cannibalization — AI answer-boxes (Google AI Overviews, ChatGPT) satisfying queries without a click-through to Reddit — the threat to the ~40-50% of traffic that arrives via Google.

FCF margin — Free cash flow / revenue, modeled ex-SBC (owner FCF, not the ~32% headline); SBC ~12% of revenue is a ~25% haircut to headline plus ongoing dilution.